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Working Capital Cycle

Money in Movement

+

The Effects of Time & Discounting

60 Day Cycle

Bar costs 66c (34% Reduction in Cost - Equates to 103% increase in Markup) Sells for $2.

Owners Investment

$200

Structural Requirement
Plant, Equipment
(Fixed Assets)
$100

Rent, Power,
Wages, Administration
(Fixed Expenses)
$100 mth

Distributed Profits
(R.O.I)

$200

Plus 14 Days Delay

$100
Cash

Plus 14 Days Delay

$102 recycled

Debtors

60 Day Cycle
(Working Capital)

Stock

151 Units

Sale
$302

Yearly Stock Cycles
6
(Goes 'Bust' if Markup is insufficient)

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Checking what we know…

Scenario: 1

You order 100 chocolate bars from your supplier, paying cash on order. The bars arrive 14 days later.

You sell all the bars to a local supermarket on the 21st day, the supermarket pays on the 28th day but, you still don't have enough money to buy new stock and pay wages.

Q: Do you have a cash flow problem?

Checking what we know…

Scenario: 1

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Q: Do you have a cash flow problem?

A: No.

You have a profitability problem, the trading cycle (including receipt of payment) completed within the same trading period. Assuming the margin received from your sales is in line with your competitors *(you make the same gross profit from each bar as everyone else)* then it's likely your fixed costs are too high or, it's early in your business and you were underfunded from outset.

Checking what we know…

Scenario: 2

You order 100 chocolate bars from your supplier, paying cash on order. The bars arrive 7 days later. You sell all the bars to a local supermarket on the 14th day, the supermarket agrees to pay on the 28th day but, they want another 'in-fill order' of 50 bars on the 21st of same month.

You can't afford to buy more stock (cash up front) from your supplier *(and will likely fail to meet the order.)*

Q: Do you have a cash flow problem?

Checking what we know…

Scenario: 2

You order 100 chocolate bars from your supplier, paying cash on order. The bars arrive 7 days later. You sell all the bars to a local supermarket on the 14th day, the supermarket agrees to pay on the 28th day but, they want another 'in-fill order' of 50 bars on the 21st of same month.

You can't afford to buy more stock (cash up front) from your supplier *(and will likely fail to meet the order.)*

Q: Do you have a cash flow problem?

A: No.

You have a lack of working capital.

This is where (appropriate) funding can be useful provided your gross margin can support the cost of finance. (Think of the finance as an 'opportunity cost' - you don't make as much as usual but you secure a client relationship & achieve a 'profit injection' to help you going forward.)

Checking what we know…

Scenario: 3

You order 100 chocolate bars from your supplier, paying cash on order. The bars arrive 14 days later. You make a meeting with the supermarket purchaser but they have to reschedule due to illness. You don't get confirmation of purchase until the 23rd and unfortunately, you miss the billing period for the month. You deliver the bars but won't get paid until the 28th of the FOLLOWING month. You can't afford to buy more stock until you get paid.

Q: Do you have a cash flow problem?

Checking what we know…

Scenario: 3

You order 100 chocolate bars from your supplier, paying cash on order. The bars arrive 14 days later. You make a meeting with the supermarket purchaser but they have to reschedule due to illness. You don't get confirmation of purchase until the 23rd and unfortunately, you miss the billing period for the month. You deliver the bars but won't get paid until the 28th of the FOLLOWING month. You can't afford to buy more stock until you get paid.

Q: Do you have a cash flow problem?

A: Yes

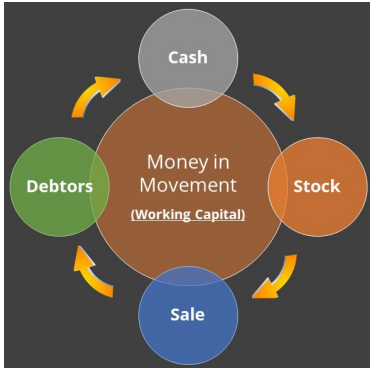
Your operational procedures failed to complete the (current) trading cycle in the same period. You may enjoy the same amount of profit for your activities but your trading (flow) cycle/stock turn is impacted. Your (same) cash will arrive, eventually…

(If this happens regularly it may reduce your total annual sales/stock turn (number of trading cycles) so you'll end up making less profit for the year.)

Working Capital Cash Tactics

3 Actions to Improve Cash Position related to Stock & W.I.P
We should stop paying full price for chocolate
Sell the corporate yacht - don't drink all the vodka on day one.
Stop buying chocolate biscuits for staff

3 Actions to Improve Cash Position related to Stock & W.I.P
We will connect 'Tradeify' as an add-on app to our Xero accounting software so that we can have our team generate finalised invoices whilst out 'on site' so that as soon as the job is completed, the invoice is generated and we're not missing monthly billing periods.
We will implement a series of debtor protocols aimed at being more proactive at following up outstanding debtors early, rather than leaving it too late.
We will swap all existing clients that have allowed their invoices to creep into 90 debtor days (at some time in the past 6 months) over to a 'cash upon delivery' basis. Those that refuse to comply, we will no longer act for.



3 Actions to Improve Cash Position related to Stock & W.I.P
Negotiate delayed payment terms in return for carrying a wider range of stock items from suppliers
Use air freight on low frequency stock items to carry less stock but have delivered direct to customer after purchase.
Use fast freight to reduce chances of stock perishing whilst in our possession and being forced to throw out. This gives us more 'sales days' to be able to recover our investment.

3 Actions to Improve Cash Position related to Sales
We will increase our prices following some market research on the pricing of our competitors. We can scale the prices from top to bottom, divide into 4 quadrants and aim to be priced at the lower end of the upper most quadrant.
We will brainstorm the 5 most common 'sales objections' and then build scripts to deal with these tension areas. Once scripted, each salesperson will pair up with a 'buddy' to rehearse for 30 mins at a time, until totally down-pat.
We will explore the use of licensed distributors to help sell our products; giving us exposure to new markets without the infrastructure cost of going into new markets by ourselves.

The Theory:

To manage a business effectively, you must understand how money moves through it. Business capital is divided into two main categories:

- **Fixed Capital** (Structural Requirements): This is **"the cost of being in business."** It includes structural overheads like leases, plant and equipment, staff wages, and marketing costs.
- **Working Capital** (Money in Movement): This is **"the money that makes money."** It represents the ongoing cycle of your daily operations.

The Working Capital Cycle operates in a continuous loop: Cash → Stock → Sale → Debtors → Cash. The speed of this cycle is critical. For example, a 30-day cycle allows you to reinvest your cash (turn over your stock) 12 times a year. If delays extend this to a 60-day cycle, you only achieve 6 stock turns a year, drastically impacting your yearly profitability, and potentially causing the business to go bust if markups are insufficient to cover the prolonged wait.

Differentiating the Problems Business owners often misdiagnose their financial hurdles. **The framework identifies three distinct issues:**

1. **Profitability Problem:** If you successfully complete your trading cycle within the normal timeframe but still cannot afford to pay wages or buy new stock, you do not have a cash flow problem; you have a profitability problem. This usually means your gross margin is too low, your fixed costs are too high, or you were underfunded from the start.
2. **Lack of Working Capital:** If you receive a surge in demand or back-to-back orders before the first order is paid out, you may be unable to buy enough stock. This is a lack of working capital. Taking on appropriate funding here acts as an "opportunity cost" to secure client relationships and inject future profit.
3. **True Cash Flow Problem:** If operational failures (like a delayed client meeting) cause you to miss a monthly billing cycle, your payment is delayed to the *following* month. This is a true cash flow problem because the cash will arrive eventually, but the delay reduces your total annual trading cycles and profit.

Step By Step Methods

Step 1: Map Your Current Cycle & Margins

- Review your current Working Capital Cash model by determining exactly how many days it takes to move from purchasing stock to receiving cash.
- Explore the effects of your pricing. Be cautious with discounting: reducing your sale price requires a significantly increased sales volume just to generate your original gross profit levels.

Step 2: Implement "Cash Preservation Tactics" Use the Working Capital Cash Tactics method to maximize available cash.

- *Stock & WIP (Work in Progress):* Negotiate delayed payment terms with suppliers so you can carry a wider range of stock, or use faster freight options to hold less stock and recover your investment sooner.
- *Debtors:* Connect add-on apps (like Tradeify to Xero) to generate invoices immediately on-site. Implement proactive debtor follow-ups, and transition clients who consistently slip into 90-day arrears to a strict "cash upon delivery" basis.
- *Sales:* Conduct market research to increase prices strategically. Brainstorm and script responses to the top 5 sales objections with your team to improve conversion efficiency.

Step 3: Categorize and Optimize Costs Examine your expenses using the "Category Secrets" framework to find efficiencies:

- Variable Costs ("Do The Job"): Look for purchasing, warehousing, and logistics efficiencies to lower the cost of materials and stock.
- Activity Costs ("Get The Job"): Review your product positioning, pricing, and sales effectiveness.
- Fixed Costs ("Get Organised"): Assess management effectiveness, the use of assets, and employee culture.

Step 4: Audit Management Effectiveness Ensure your financial cycle isn't being hindered by ineffective management. Look out for three major red flags: a lack of clear, measurable, and time-bound business objectives; a culture that accepts task failure as "normal"; and an absence of feedback loops where mistakes are not shared and learned from.

Common Q&A

Q: I sold my products quickly, but I'm waiting 28 days for payment and can't pay my staff right now. Is this a cash flow problem?

A: No. Assuming the cycle completed normally, you have a profitability problem. If your margins match your competitors, your fixed costs (like rent and administration) are likely too high for the revenue you are generating.

Q: I missed my invoicing cutoff date by one day, meaning my client won't pay me until the end of next month. Does this matter if I still get the money?

A: Yes, it matters greatly. This is a genuine cash flow problem. While the cash arrives eventually, missing the trading cycle impacts your "stock turn." Regularly doing this reduces the total number of trading cycles you can complete in a year, leading to less overall profit.

Q: I want to scale my business by taking on debt to buy new equipment and fit out a new shop space. Is this a good idea?

A: Be highly cautious of Over-Trading, which is funding growth primarily via debt without adequate previously retained profits. If you use debt to fund fixed assets (like leasehold improvements) simply "in the hope" that it leads to future sales, you risk severely unbalancing your debt-to-equity ratio. This can be disastrous if you hit a market downturn.

Q: How do I justify expanding to a new "Profit Plateau"?

A: Look at how you utilize existing assets first. The safest way to meet increased demand is to increase your "working scale" (e.g., adding extra labor shifts) without acquiring significant new assets. If you do take on debt for expansion, perform a 'Liquidation Value Estimate' and ask yourself: "How easy can I scale back down if necessary?".